This investment is independent of economic activity. Autonomous investment is income-inelastic, the volume of autonomous investment is the same at all levels.

The autonomous investment curve is horizontal, parallel to X axis.

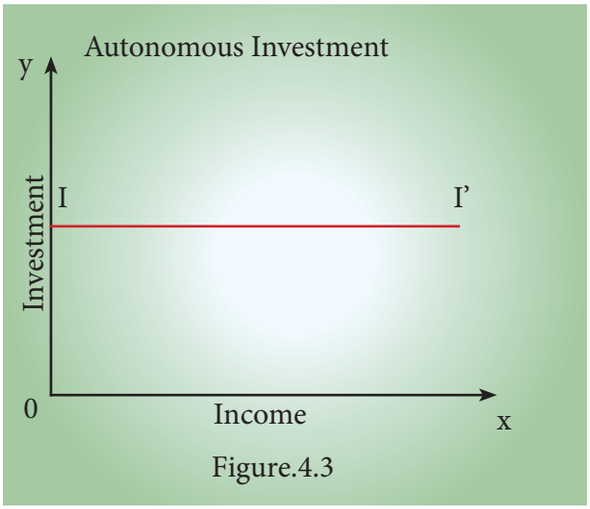


Figure.4.3

In the times of economic depression, the governments try to boost the autonomous investment. Thus, autonomous investment is one of the key concepts in welfare economics.

Generally, Government makes autonomous investment because of the welfare consideration.

ii) Induced investment: Induced investment is the expenditure on fixed assets and stocks which are required when level of income and demand in an economy goes up.

Induced investment is profit motivated. It is related to the changes of national income. The relationship between the national income and induced investment is positive; decreases in national income leads to decrease in induced investment and vice versa. Induced investment is income elastic. It is positively sloped as shown here.

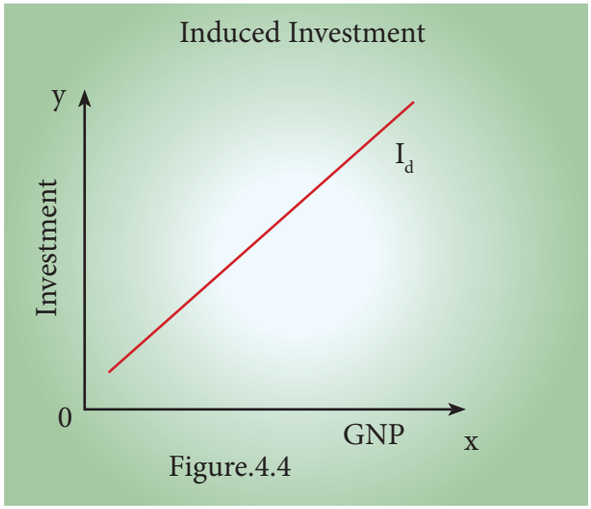


Figure.4.4

Sl. No	Autonomous Investment	Induced Investment
1	Independent	Planned
2	Income inelastic	Income elastic
3	Welfare motive	Profit Motive

4.3.3 Determinants of Investment Function

The classical economists believed that investment depended exclusively on rate of interest. In reality investment decision depends on a number of factors. They are as follows:

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